# UNIT 5

## Organization and Operation of Corporations

# Characteristics of Corporations

## Advantages

| | |
|---|---|
| Limited liability of shareholders | If the corporation fails, the shareholder's risk is limited to the amount invested. |
| Ownership rights are easily transferable | You can sell your shares. |
| Continuous life | Unlike sole proprietorships and partnerships, the corporation lives on, even after passing of owners. |
| Lack of mutual agency | Owners to do not have the ability to enter into contracts on behalf of the business. |
| Ease of capital accumulation | Corporations can issue more shares or bonds to easily raise funds. |

## Disadvantages

| | |
|---|---|
| Government regulation | The government imposes varying levels of reporting requirements on corporations. Must follow ***IFRS*** or ***Private Enterprise GAAP***. |
| Corporate taxation | An additional tax is applied to corporations. So sometimes the corporate form is a disadvantage in terms of tax. |
| Separation of management and ownership | Relatively small owners of the corporation end up having little say in the day-to-day running of the business. |

# Comparison of Forms of Business Entities

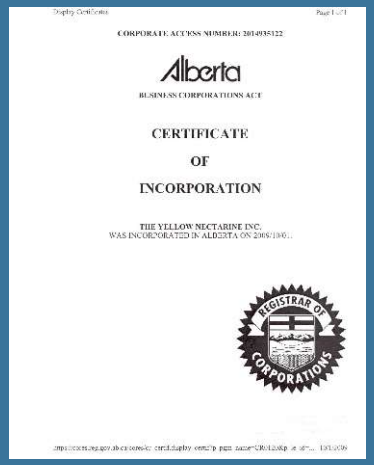
| | Proprietorship | Partnership | Corporation |
|---|---|---|---|
| Business entity | yes | yes | yes |
| Legal entity | no | no | yes |
| Limited liability | no | no | yes |
| Business taxed | no | no | yes |
| One owner allowed | yes | no | yes |

The Net Income of the business is added to *personal income* of the owners and is taxed as such.

# Organizing a Corporation

# Incorporation

- A corporation can be created under either federal or provincial laws.
- A federal corporation must comply with the regulations set under the Canadian Business Corporations Act (CBCA).
- Most provincial laws pertaining to corporations are modelled after the CBCA.
- While variances exist, typically a legal document called *articles of incorporation, letters patent, charter,* or *memorandum of association* is filed with the government.
- Each of these typically include the same info;


CORPORATE ACCESS NUMBER: 2014935122

Alberta

BUSINESS CORPORATIONS ACT

CERTIFICATE

OF

INCORPORATION

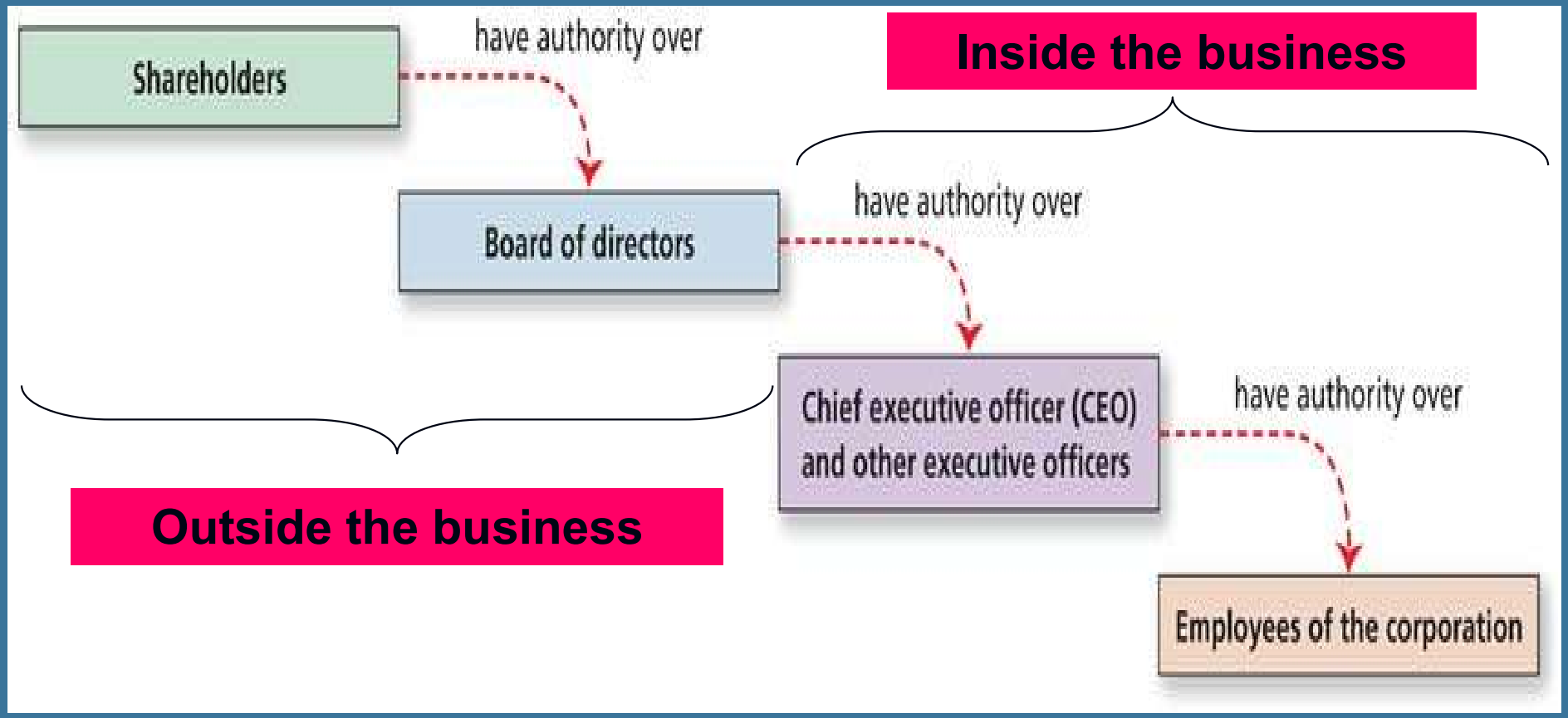
THE YELLOW NECTARINE INC.
WAS INCORPORATED IN ALBERTA ON 2009/10/01.

REGISTRAR OF CORPORATIONS

- Name of the corporation.
- The address of the corporation.
- The purpose of the corporation.
- The initial shareholders.
- Maximum number of shares that can be issued (a.k.a. authorized)
- Etc.…

# Incorporation

- Investors then purchase shares and elect a board of directors.
- Board of Directors “guides” the corporations affairs.



# Organization Costs

- Costs include:
  - legal fees
  - promoters' fees

    Promotors help a new corporation get the word out about their shares.
  - amounts paid to obtain a charter.
- Organization costs are "expensed" as incurred.
- ***Sometimes shares are issued to service providers in exchange for their services. In this case, a credit would be applied to a share capital account instead of cash.

# Rights of Shareholders

According to the Canada Business Corporations Act, shareholders have the right to:

- Vote
  - Can sign a *proxy* which allows someone else to vote on your behalf.
- Receive dividends that have been declared.
- Receive property of the corporation after its closure.

# Corporate Financial Statements

# Corporate Income Statements

**Corporation**

**ABC Corporation**
**Income Statement**
**For Year Ended December 31, 2011**

| | | |
|---|---|---|
| Revenues | | $116 |
| Operating expenses | | 40 |
| Income from operations | | $ 76 |
| Other revenues and expenses:[6] | | |
| Gain on sale of capital assets | $ 7 | |
| Interest revenue | 3 | |
| Loss on sale of capital assets | (12) | |
| Interest expense | (14) | (16) |
| Income before tax | | $ 60 |
| Income tax expense | | 12 |
| Net income | | $ 48 |

**Partnership/Sole Proprietorship**

**Dell's Servicing**
**Income Statement**
**For Year Ended December 31, 2011**

| | | |
|---|---|---|
| Revenues | | $116 |
| Operating expenses | | 40 |
| Income from operations | | $ 76 |
| Other revenues and expenses:[6] | | |
| Gain on sale of capital assets | $ 7 | |
| Interest revenue | 3 | |
| Loss on sale of capital assets | (12) | |
| Interest expense | (14) | (16) |
| Net income | | $ 60 |

The income statements are identical except for the $12 of income tax expense.

# Corporate Statement of Changes in Equity

## Corporation

**ABC Corporation**
**Statement of Changes in Equity**
**For Year Ended December 31, 2011**

| | Share Capital | Retained Earnings | Total Equity |
|---|---|---|---|
| Balance, January 1 | $ -0- | $ -0- | $ -0- |
| Issuance of share capital | 500 | | 500 |
| Net income (loss) | | 48 | 48 |
| Dividends | | (40) | (40) |
| Balance, December 31 | $500 | $ 8 | $508 |

## Partnership/Sole Proprietorship

**Dell's Servicing**
**Statement of Changes in Equity**
**For Year Ended December 31, 2011**

| | | |
|---|---|---|
| Ivor Dell, capital, January 1 | | $ -0- |
| Add: **Owner investment** | $500 | |
| Net income | 60 | |
| Total | | $560 |
| Less: Withdrawals | | 40 |
| Ivor Dell, capital, December 31 | | $520 |

Notice that both statements include net income (losses) and distributions of income (called *dividends* for a corporation and *withdrawals* for a single proprietorship). Investments by the corporation's owners, called shareholders, are part of *share capital* while the investments made by the owner of the single proprietorship are included in Ivor Dell, Capital.

*Share Capital*
*(aka **Contributed Capital** when more than one series/type of shares have been issued)* takes the place of the owner's capital account.

Selling shares is like an owner investment.

*Retained Earnings* is used for the net income.

Income is either *retained* by the business or issued as dividends. Issuing Dividends is comparable to Owner Withdrawals.

The $12 difference here comes about as a result of the Income Tax Expense shown on the Income Statement.

# Corporate Balance Sheets

## Corporation

**ABC Corporation**
**Balance Sheet**
**December 31, 2011**

| | | |
|---|---|---|
| **Assets** | | |
| Cash | | $148 |
| Other assets | | 600 |
| Total assets | | $748 |
| **Liabilities** | | $240 |
| **Equity** | | |
| Share capital | $500 | |
| Retained earnings | 8 | |
| Total equity | | 508 |
| Total liabilities and equity | | $748 |

## Partnership/Sole Proprietorship

**Dell's Servicing**
**Balance Sheet**
**December 31, 2011**

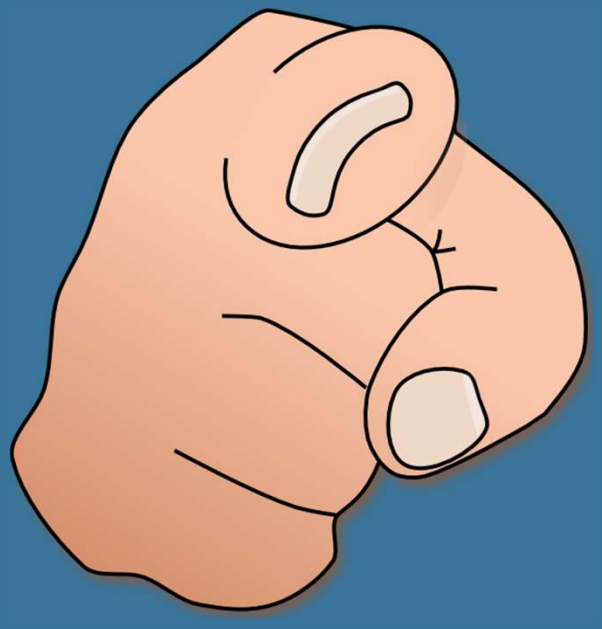
| | |
|---|---|
| **Assets** | |
| Cash | $160 |
| Other assets | 600 |
| Total assets | $760 |
| **Liabilities** | $240 |
| **Equity** | |
| Ivor Dell, Capital | 520 |
| Total liabilities and equity | $760 |

The equity sections for both organizations include the same transactions: net incomes (losses), distributions of income, and owner investments.

Remember, this is sometimes referred to as Contributed Capital if more than one type/class of shares are issued.

**The balance sheets for corporations and single proprietorships are identical except for the equity section.**

# Your Turn!



QS 15-1
QS 15-3
QS 15-5
QS 15-6
QS 15-7

# Issuing Shares

- Companies obtain capital, or money, by issuing shares.
- This is referred to as *equity financing*.
- The investor no longer receives a share certificate.
- Each publicly traded corporation must have a *registrar* who keeps track of the information of the current shareholders at any given point.

# Issuing Shares

- Shares may be sold *directly* to investors or may be sold *indirectly* through a brokerage house who charges the corporation for this service.
- Sometimes a brokerage house buys the shares from the corporation and then sells them to customers themselves, in which case the brokerage house takes the gain, or loss, from the sales. (Commonly referred to as a "bought deal")

- The *market value* of a share is the price at which a share is currently being bought and sold on the market.
- The buying and selling of shares between investors DOES NOT impact the corporate equity accounts.

# Issuing Shares

- If a company only has one class of shares, they are known as ***common shares***.
- The CBCA requires all shares to be no par value, meaning that they have no "face value" written on them.

# Issuing Shares for Cash

Example: Dillon Snowboards Ltd. issued 30,000 common shares for $300,000 cash ($10 per share).

The entry to record this would be:

| | | | |
|---|---|---|---|
| 2011 | | | |
| June 5 | Cash | 300,000 | |
| | Common Shares | | 300,000 |
| | *Sold and issued 30,000 common shares at $10 per share.* | | |

# Impact on Equity Section of Balance Sheet

Example: Equity of Dillon Snowboards Ltd. after the first year of operating. Assume net income of $65,000 and no dividend payments.

Refers to the *number* of shares

Indicates how many shares have been *given out or sold*

Identifies the number of shares the corporation is *allowed to issue*

**Equity Section of the Balance Sheet**

| | | |
|---|---|---|
| Common Shares, unlimited shares authorized, | | |
| 30,000 shares issued and outstanding | $300,000 | |
| Retained earnings | 65,000 | |
| Total equity | | $365,000 |

Defines how many of the issued shares are *held by shareholders*

Discloses *dollars invested by shareholders* in exchange for shares. In this case, 30,000 shares × $10 per share = $300,000 invested by shareholders.

This reflects *accumulated profits/losses less dividends*. To date it includes $65,000 of net income less zero dividends.

# Issuing Common Shares for Non-Cash Assets

- There are times when a corporation will sell it's shares to an investor for something other than cash.
- When this happens, the "non-cash asset" must be recorded at it's fair market value.

To illustrate, here is the entry to record Dillon Snowboards' receipt on July 2, 2011, of land valued at $105,000 in return for immediate issuance of 4,000 common shares:

| | | | |
|---|---|---|---|
| 2011 | | | |
| July 2 | Land | 105,000 | |
| | Common Shares | | 105,000 |
| | *Exchanged 4,000 common shares for land.* | | |

Exhibit 15.7 shows the equity section of the balance sheet for Dillon Snowboards at July 31, 2011, assuming net income earned during July of $82,000.

**Equity Section of the Balance Sheet**

| | | |
|---|---|---|
| Common Shares, unlimited shares authorized, | | |
| 34,000 shares issued and outstanding | $405,000 | |
| Retained earnings | 147,000 | |
| Total equity | | $552,000 |

30,000 shares previously sold + 4,000 shares exchanged for land = 34,000 shares

$300,000 previous balance + $105,000 = $405,000 total assets received by the corporation in exchange for common shares

$65,000 previous balance + $82,000 net income earned in July − $0 dividends = $147,000 as the balance in retained earnings at the end of July.

# Preferred Shares

- Shares that give their owners a "priority" status over common shareholders including:
  - Receiving fixed/set dividends *and*
  - Distribution of assets on liquidation.
- Do not usually have the right to vote.
  - Are listed <u>before</u> common shares in the equity section.

# Issuing Preferred Shares for Cash

Example: Dillon Snowboards Ltd. issued 5,000 preferred shares with a dividend preference of $3 per share for a total of $125,000 cash.

**Dividend preference** simply means that is the amount of the dividend they are entitled to.

The entry to record this would be:

| | | | |
|---|---|---|---|
| 2011 | | | |
| Aug. 3 | Cash | 125,000 | |
| | Preferred Shares | | 125,000 |
| | *Issued 5,000 preferred shares for total cash of $125,000.* | | |

# Equity After Issue of Preferred Shares

When more than one class of shares has been issued, the equity section is classified by grouping the share capital accounts under the heading *contributed capital*. **Contributed capital** is the total amount of cash and other assets received by the corporation from its shareholders in exchange for common and/or preferred shares.

The notation "$3" is the dividend preference, which means preferred shareholders are entitled to dividends at the rate of $3 per year per preferred share when declared.

**Equity Section of the Balance Sheet**

| | | |
|---|---|---|
| Contributed capital: | | |
| Preferred shares, $3, unlimited shares authorized, 5,000 shares issued and outstanding | $125,000 | |
| Common shares, unlimited shares authorized, 34,000 shares issued and outstanding | 405,000 | |
| Total contributed capital | | $530,000 |
| Retained earnings | | 303,000 |
| Total equity | | $833,000 |

Net income of $65,000 for June + $82,000 net income for July + $156,000 net income for August − $0 dividends = $303,000 as the balance in retained earnings at August 31, 2011.

**Exhibit**

Equity W
Preferred

***Issuing of preferred shares for non-cash assets is treated in the same manner as common shares for non-cash assets.***

**Exhibit 15.8**

Equity With Common and Preferred Shares

**Equity Section of the Balance Sheet**

| | | |
|---|---|---|
| Contributed capital: | | |
| Preferred shares, $3, unlimited shares authorized, 5,000 shares issued and outstanding | $125,000 | |
| Common shares, unlimited shares authorized, 34,000 shares issued and outstanding | 405,000 | |
| Total contributed capital | | $530,000 |
| Retained earnings | | 303,000 |
| Total equity | | $833,000 |

Net income of $65,000 for June + $82,000 net income for July + $156,000 net income for August − $0 dividends = $303,000 as the balance in retained earnings at August 31, 2011.

**Exhibit 15.9**

Equity on August 31, 2011, Balance Sheet

**Dillon Snowboards Inc.**
**Balance Sheet**
**August 31, 2011**

| | | | |
|---|---|---|---|
| **Assets** | | | |
| *Current assets:* | | | |
| Cash | | | |
| Total current assets | | | |
| *Property, plant and equipment:* | | | |
| Land | | | |
| Total property, plant and equipment | | | |
| Total assets | | | $ |
| **Liabilities** | | | |
| *Current liabilities:* | | | |
| Accounts payable | | | |
| Total current liabilities | | | |
| *Long-term liabilities:* | | | |
| Total liabilities | | | |
| **Equity** | | | |
| *Contributed capital:* | | | |
| Preferred shares | $125,000 | | |
| Common shares | 405,000 | | |
| Total contributed capital | | $530,000 | |
| Retained earnings | | 303,000 | |
| Total equity | | | $833,000 |
| Total liabilities and equity | | | $ |

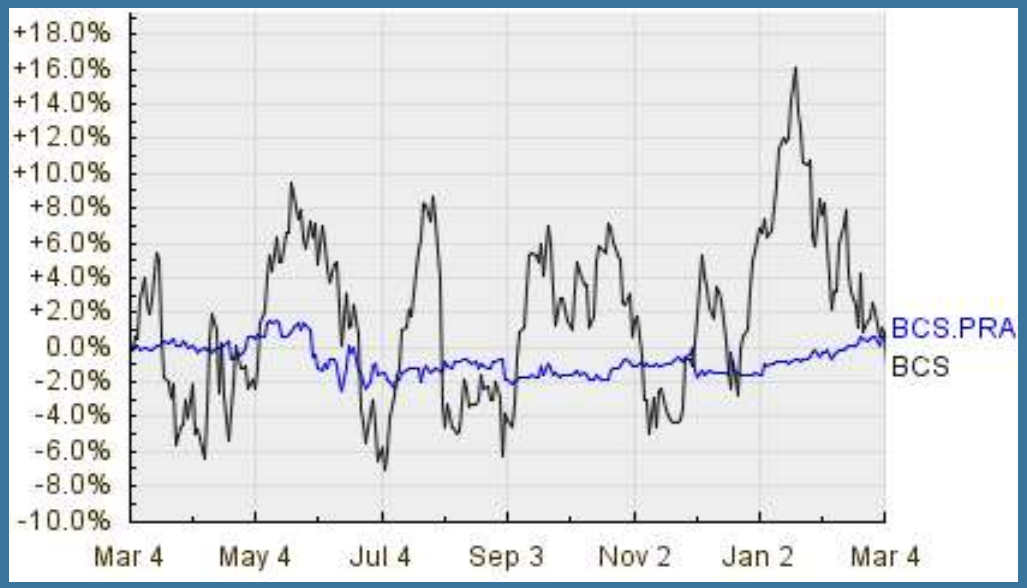
An *abbreviated* example of how Dillon Snowboards' equity might appear within the balance sheet at August 31, 2011, is illustrated here in Exhibit 15.9.

# Reasons for Issuing Preferred Shares

- No sacrifice of control…usually no vote.
- Potential to increase return to common shareholders (*financial leverage*)

Happens when the extra income earned with the investment by preferred shareholders is greater than the promised dividend to the preferred shareholders.

- Appeal to potential investors who are worried that the risk is too high with common shares or perhaps that the common share dividend is not high enough.

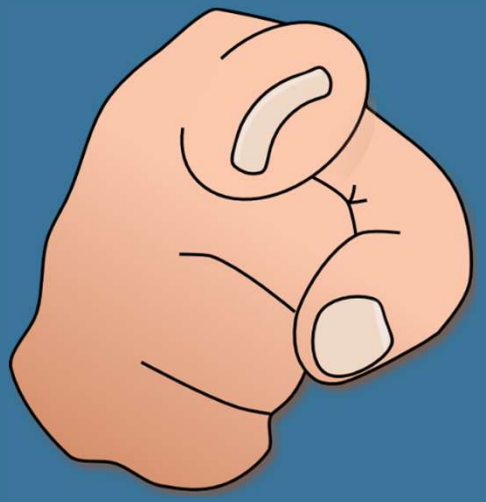



common shares

preferred shares

- Market price of common shares may be too low.

# Your Turn!



QS 15-8
QS 15-9
QS 15-10

Ex 15-2
Ex 15-3

# Dividends

- Are a distribution of earnings to shareholders
- Reduce retained earnings
- Are decided by the board of directors
- May be in cash or shares…if shares this is referred to as a:

Dividend Re Investment Plan (DRIP)

# Dividends

## Important dates:

1. Date of declaration

**The date the directors vote to pay a dividend. This creates a legal liability for the corporation.**

Suppose that on Nov 9 Z-Tech has 5000 common shares outstanding and they declare a $1/share dividend, payable December 1. There are two ways of doing this...

Cash Dividends is a temporary account used to keep track of dividends declared.

**Method 1**

| | | | |
|---|---|---|---|
| Nov. 9 | Cash Dividends..... | 5,000 | |
| | Common Dividends Payable... | | 5,000 |
| | *Declared a $1 per share cash dividend on common shares.* | | |

or

**Method 2**

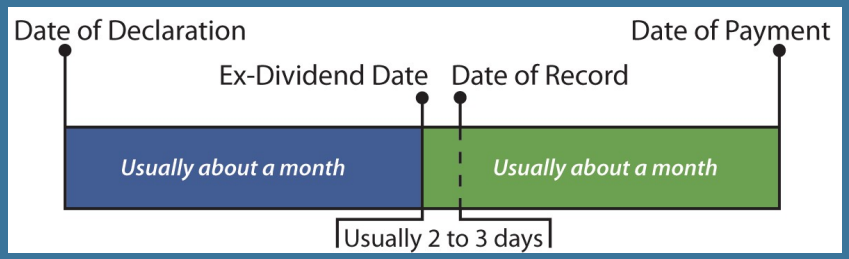
| | | | |
|---|---|---|---|
| Nov. 9 | Retained Earnings..... | 5,000 | |
| | Common Dividends Payable... | | 5,000 |
| | *Declared a $1 per share cash dividend on common shares.* | | |

# Dividends

Important dates:

1. Date of declaration
2. Date of record

**The future date specified by the directors for identifying those shareholders listed in the corporation's records to receive dividends.**




Approximately 2-3 days prior to the date of record, the stock is said to be trading "ex-dividend"…meaning that if you buy the share, you are not entitled to the next dividend payment. The 2-3 days allows for last minute trades to be "settled".

# Dividends

Important dates:

1. Date of declaration
2. Date of record
3. Date of payment

**The date the shareholders receive payment.**

Suppose that it is now December 1, the payment date for the dividend Z-Tech has declared. Depending on the method you chose to record the liability, you will now proceed appropriately as shown below....

**Method 1**

| | | | |
|---|---|---|---|
| Dec. 1 | Common Dividends Payable..... | 5,000 | |
| | Cash..... | | 5,000 |
| | *Paid cash dividend to common shareholders.* | | |

**Method 2**

| | | | |
|---|---|---|---|
| Dec. 1 | Common Dividends Payable..... | 5,000 | |
| | Cash..... | | 5,000 |
| | *Paid cash dividend to common shareholders.* | | |

# Dividends

At the end of the period, if your business has used the Cash Dividends temporary account, you will need to close that account to retained earnings.

**Method 1**

| | | | |
|---|---|---|---|
| Dec. 31 | Retained Earnings ..... | 5,000 | |
| | Cash Dividends..... | | 5,000 |
| | *To close Cash Dividends account.* | | |

**Method 2**

| | | | |
|---|---|---|---|
| Dec. 31 | No entry | | |
| | *Because Retained Earnings was debited directly on the date of declaration, no closing entry is required when using this alternative approach.* | | |

# Deficits and Cash Dividends

- A corporation with a debit balance in Retained Earnings is said to have a deficit.

- Deficits reduce total equity.

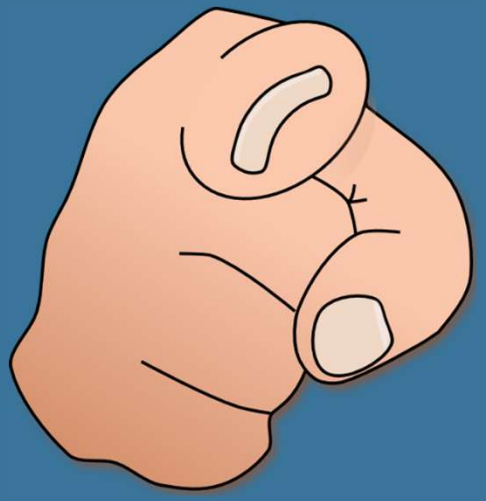
This would normally say Retained Earnings

**Nortel Networks Corporation**
**Equity Section of the Balance Sheet**
**December 31, 2007**
**(millions of U.S. dollars)**

| | |
|---|---|
| Share capital | $ 34,028 |
| Deficit | (36,532) |

- Corporations are not allowed to pay cash dividends when there is a deficit.

# Your Turn!



QS 15-11

Ex 15-4
Ex 15-5
Ex 15-6

# Preferred Shares

- Common shares cannot receive dividends unless preferred share dividends are paid first.
- Preferred dividends are <u>not</u> guaranteed.
- The board of directors must declare a dividend before shareholders are entitled to a dividend.
- Preferred shares may be either *cumulative* or *non-cumulative.*

# Preferred Shares

**Stake Technology Ltd.**
**Equity Section of the Balance Sheet**
**April 30, 2011**

| | | |
|---|---|---|
| Contributed capital: | | |
| Preferred shares, $2.20, 25,000 shares authorized; 7,000 shares issued and outstanding | $ 84,000 | |
| Common shares, unlimited shares authorized; 80,000 shares issued and outstanding | 760,000 | |
| Total contributed capital | | $844,000 |
| Retained earnings | | 49,000 |
| Total equity | | $893,000 |

**Exhibit 15.13**

Presentation of Dividend Preference

The preferred shareholders are entitled to receive $2.20 per share annually when dividends are declared.

Notice that the preferred shares are listed <u>first</u> in the Contributed Capital section of the balance sheet.

# Preferred Shares

Cumulative

- Undeclared dividends accumulate until they are paid.
- Common shareholders cannot receive dividends until all cumulative dividends are paid.

Non-Cumulative

- Have no right to prior periods' unpaid dividends if they were not declared.

# An Example:

**a.** If non-cumulative preferred:

Let's assume these preferred shares have a $2.20 dividend preference, but are non-cumulative.

| | Preferred | Common | Total |
|---|---|---|---|
| Year ended 2011: | | | |
| *7,000 shares × $2.20/share* | $15,400 | | |
| *Remainder to common* | | $16,000 | $ 31,400 |
| Year ended 2012: | -0- | -0- | $ -0- |
| Year ended 2013: | | | |
| *7,000 shares × $2.20/share* | $15,400 | | |
| *Remainder to common* | | $95,400 | $110,800 |

$31,400 in total dividends were declared for 2011

$0 in total dividends were declared for 2012

$110,800 in total dividends were declared for 2013

**b.** If cumulative preferred:

Let's assume these preferred shares have a $2.20 dividend preference and are cumulative.

| | Preferred | Common | Total |
|---|---|---|---|
| Year ended 2011: | | | |
| *7,000 shares × $2.20/share* | $15,400 | | |
| *Remainder to common* | | $16,000 | $ 31,400 |
| Year ended 2012: | -0- | -0- | $ -0- |
| Year ended 2013: | | | |
| *Dividends in arrears = $15,400* | | | |
| *+ Current year dividends of $15,400* | $30,800 | | |
| *Remainder to common* | | $80,000 | $110,800 |

# Financial Disclosure of Dividends

- A liability for a dividend does not exist until the directors declare a dividend.
- Dividends in arrears on cumulative preferred shares must be disclosed in the corporation's financial statements.

# Preferred Shares

## Non-participating

- Have dividends limited to a maximum amount each year. As stated in the dividend preference.

## Participating (rare)

- Have a feature in which preferred shareholders share with common shareholders in any dividends paid in excess of the dollar amount stated on the preferred shares.
- Only get this “bonus” once common shareholders receive dividends proportionate to those already given to preferred shareholders.

# Preferred Shares

Convertible

- Gives holders the option of exchanging their preferred shares into common shares at a specified rate.
- Offers holders of convertible shares a higher potential return.
- Convertible preferred shares can increase in value as a result of this feature.

# Conversion Example

**Stake Technology Ltd.**
**Equity Section of the Balance Sheet**
**April 30, 2011**

| | | |
|---|---|---|
| Contributed capital: | | |
| Preferred shares, $2.20, 25,000 shares authorized; 7,000 shares issued and outstanding | $ 84,000 | |
| Common shares, unlimited shares authorized; 80,000 shares issued and outstanding | 760,000 | |
| Total contributed capital | | $844,000 |
| Retained earnings | | 49,000 |
| Total equity | | $893,000 |

| | | | |
|---|---|---|---|
| 2011 | | | |
| May 1 | Preferred Shares | 12,000 | |
| | Common Shares | | 12,000 |
| | *To record the conversion of preferred shares into common; $84,000/7,000 shares = $12/share average issue price; $12/share × 1,000 shares = $12,000.* | | |

# Preferred Shares

Callable (redeemable)

- The issuing corporation, at its option, may purchase (retire) these shares from their holders at specified future prices and dates.
- The amount paid to shareholders when the shares are called and retired is it's ***call price,*** also known as the ***redemption value.***

# Closing Entries

Good news here. Aside from a few small differences, the process is much like what we have been doing all along.

This should make sense since retained earning has replaced the capital account.

- Income summary is closed to retained earnings.
- The cash dividends declared account is closed to retained earnings (assuming dividends were not debited to retained earnings when declared). This takes the place of closing withdrawals.
- Process does not really involve more steps, we are simply now closing to Retained Earnings instead of Capital.

# Closing Entries example

| Acct. No. | Account | Debit | Credit |
|---|---|---|---|
| 101 | Cash | $ 40,000 | |
| 106 | Prepaid rent | 57,000 | |
| 153 | Trucks | 137,000 | |
| 154 | Accumulated depreciation, trucks | | $ 16,000 |
| 201 | Accounts payable | | 20,000 |
| 307 | Common shares | | 75,000 |
| 315 | Preferred shares | | 40,000 |
| 318 | Retained earnings | | 30,000 |
| 319 | Cash dividends | 10,000 | |
| 401 | Fees earned | | 238,000 |
| 611 | Depreciation expense, trucks | 35,000 | |
| 640 | Rent expense | 120,000 | |
| 695 | Income taxes expense | 20,000 | |
| | Totals | $419,000 | $419,000 |

| | | |
|---|---|---|
| Fees Earned | 238,000 | |
| Income Summary | | 238,000 |
| *Closing temps with credit balances* | | |

| | | |
|---|---|---|
| Income Summary | 175,000 | |
| Dep Exp, Trucks | | 35,000 |
| Rent Expense | | 120,000 |
| Income taxes expense | | 20,000 |
| *Closing temps with debit balances* | | |

| | | |
|---|---|---|
| Income Summary | 63,000 | |
| Retained Earnings | | 63,000 |
| *Closing temps with credit balances* | | |

| | | |
|---|---|---|
| Retained Earnings | 10,000 | |
| Cash Dividends | | 10,000 |
| *Closing temps with credit balances* | | |

Remember, this would not be necessary if we were not using the Cash Dividends account when declaring dividends.

Income Summary

| | |
|---|---|
| 175000 | 238000 |
| 63,000 | 63,000 |
| 0 | |

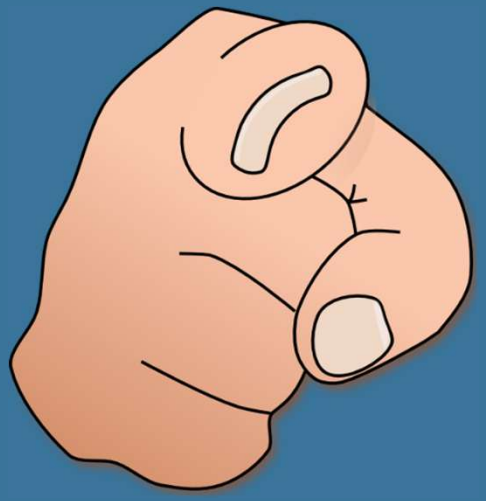
Retained Earnings

| | |
|---|---|
| 10,000 | 30,000 |
| | 63,000 |
| | 83,000 |

Cash Dividends

| | |
|---|---|
| 10,000 | 10,000 |
| 0 | |

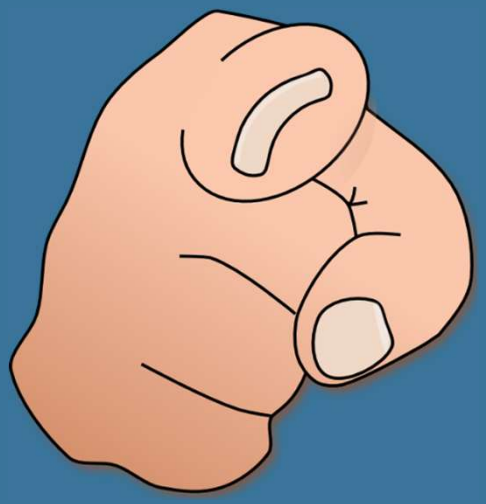
# Your Turn!



QS 15-12
QS 15-13

Ex 15-10
Ex 15-11
Ex 15-14

# Your Turn!



Ex 15-16

Ex 15-17

Pr 15-2A

Pr 15-4A